PUBLIC EQUITIES / UTILITIES / POST-EARNINGS REFRESH

Research date 05 NOV 2026

Southern Company (NYSE: SO) Operating momentum is real. The price still matters.

Q3 2026 earnings and management conference-call re-underwrite: structural load growth, regulator risk, balance-sheet funding, scenarios, discounted shareholder cash flows, and investable entry prices.

Analytical posture: HOLD | **Add below $89** | **Research conviction 7 / 10** | **Price reference $93.34**

Q3 ADJUSTED EPS	2026 ADJUSTED EPS	SIGNED LARGE-LOAD	CAPITAL OPPORTUNITY
$1.94	**$4.70**	**21 GW**	**$85B**
+21.3% YoY / beat $1.71 archived consensus	$0.10 above original guidance ceiling	Plus ~7 GW late-stage, not signed	Identified; up to ~$100B is conditional

Investment conclusion

Operating thesis strengthened; valuation thesis remains disciplined. Data-center consumption is now appearing in metered sales, rather than only prospective load pipelines. Management's identified five-year investment framework climbed from $81B to $85B and could approach $100B if project selection and regulatory approvals cooperate. Yet large capex creates financing and dilution risks, the latest election raises rate-case uncertainty, and the shares already trade near 19x the *pre-print* FY2027 Street EPS baseline. **Retain existing exposure; accumulate deliberately on a pullback, not on a strong print alone.** S1, S2, S5, S7

EVIDENCE UPGRADE

Higher confidence: 3.5% weather-adjusted Q3 retail growth; +59% data-center kWh usage; 21 GW contracted load. Management's FY2026 expected EPS of $4.70 exceeds prior upper guidance. S2

COUNTERWEIGHT

Higher scrutiny: GAAP/adjusted earnings gap, 5% y/y average-share expansion in Q3, heavy funding requirements, Georgia PSC change, and a potential 2028 rate-case process. S1, S2, S8

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Research-only working assessment, not a Portfolio CIO-authorized status or recommendation change. Sources are linked in the evidence ledger. Q3 press release and independently transcribed call reviewed; new 10-Q not independently reconciled. No portfolio workbook substitution.

01 / What has changed since the prior underwriting?

The repository contains recent portfolio-universe research covering SO, but no standalone SO research record in its thesis registry. This report therefore compares management's new disclosures with the prior public guidance and pre-print valuation bar, rather than claiming changes against an unavailable individual SO thesis. The previously recorded November 4 universe report is not a substitute for a full SO underwriting.

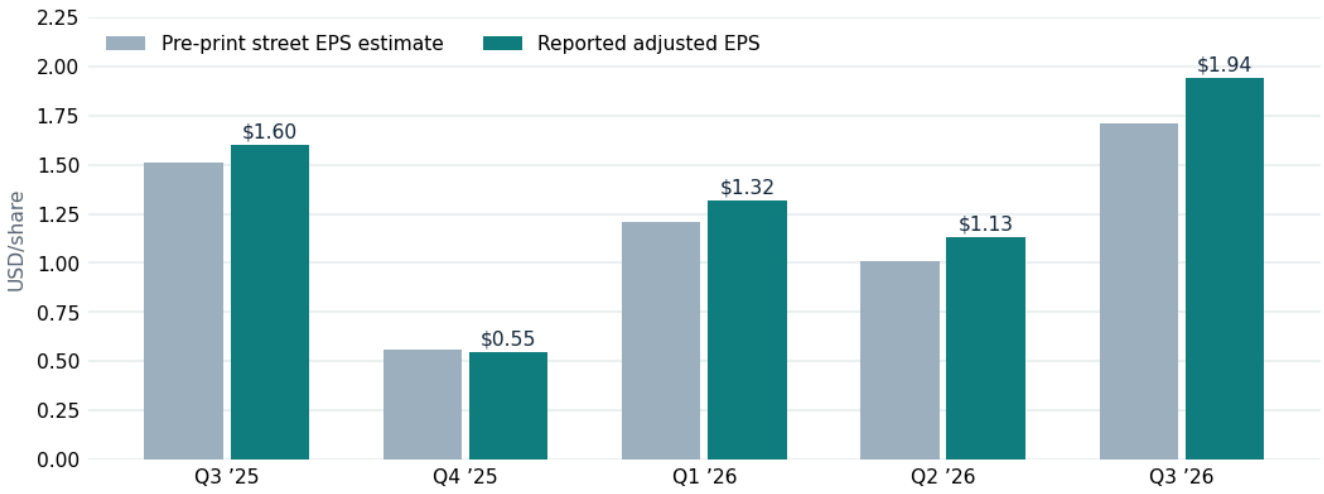
DEBATE	PRIOR FRAME	NOW / POST Q3	ASSESSMENT
2026 earnings	Original guide ceiling $4.60 adjusted	Management expects ~$4.70	**Positive / delivered**
Demand conversion	Large-load announcements and pipeline	+59% Q3 data-center usage; +3.5% weather-normal retail sales	**Higher quality proof**
Contract funnel	Earlier signed base	21 GW signed, up ~4 GW; 7 GW late-stage; ~75 GW risk-adjustable prospect funnel	**Strong but differentiated**
Five-year capex	$81B base plan	~$85B identified with ~$4B projects; up to ~$100B if additional awards/approvals	**Growth with funding risk**
2027–28 trajectory	7–8% long-run EPS growth framework	Possible higher near-term guide ceiling; February 2027 details pending	**Upside suggested, not quantified**
Regulatory	Established Georgia rate framework	New governor and Democratic PSC majority; affordability is central	**Risk premium should rise**

Company statements are management expectations, not signed approvals; the 75 GW funnel is expressly not an expected conversion volume. Sources: Q3 call, Georgia election reporting. S2, S8, S9

02 / Earnings performance and quality of the beat

METRIC	Q3 2026	Q3 2025	READ-THROUGH
Operating revenue	$8.843B	$7.823B	+13.0%; weather / fuel components limit revenue-to-value translation
Operating income (GAAP)	$3.000B	$2.594B	+15.7%; supports core operating improvement
Attributable GAAP net income	$2.046B	$1.711B	+19.6%
GAAP EPS / adjusted EPS	$1.77 / $1.94	$1.55 / $1.60	Adjusted 21.3% higher YoY
Nine-month adjusted EPS	$4.40	$3.76	+17.0%; seasonality significant
Q4 management adjusted EPS estimate	$0.30	N/A	FY26 ~ $4.70 = $4.40 YTD + $0.30 estimate
Average basic shares	1,157M	1,102M	~5.0% share growth dampens per-share earnings

Quarterly results from Southern's official earnings package; the Q4 and FY26 EPS estimates are from the call. S1, S2

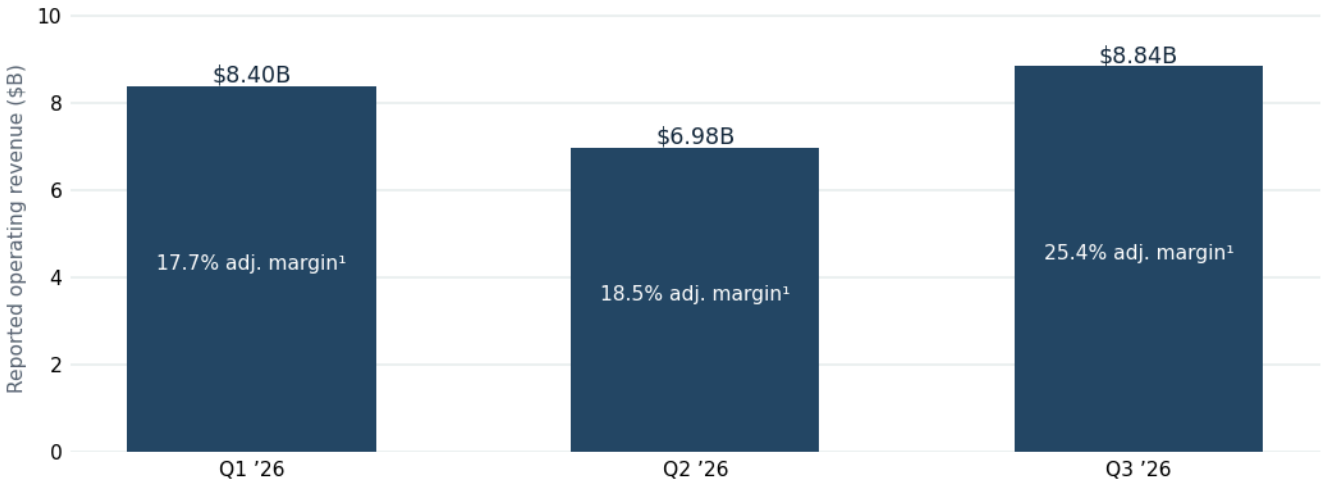


Pre-print analyst consensus versus adjusted actuals, five quarters; not the same as management's internal estimate. The Q3 2026 $1.94 result exceeded a pre-release $1.71 Street consensus by $0.23 (~13.5%). Archived estimates are non-live and not post-print revised. S1, S3, S6

EPS quality: reported versus adjusted

The $1.94 adjusted quarter is **$0.17 above GAAP EPS** and adjusted net income is $196M above GAAP. The adjustments principally involve accelerated depreciation from wind repowering, debt-extinguishment and associated tax adjustments, plus Nicor Gas capital investment costs. These are not cash-neutral in all cases, and ongoing repowering costs continue into 2027. Do not value the company using adjusted EPS without understanding why adjustment categories recur. [S1]

> **What would distort extrapolation?** One of the warmest Q3 periods in roughly 50 years boosted demand; weather-normal retail sales of +3.5%, particularly +7.3% commercial, provide stronger evidence of underlying growth than headline revenue +13%. This is a seasonally powerful quarter—not a run rate for Q4. [S1, S2]



Quarterly revenue: Q1 derived as first-half $15.374B less Q2 $6.977B; Q2 and Q3 reported. ¹Analyst-derived adjusted attributable net-income margin = adjusted attributable net income ÷ reported operating revenue; not a Southern-defined operating margin. [S1, S3]

03 / Structural demand and the capex opportunity

The strongest evidence in the call is **conversion from announced projects into billed consumption**. Actual Q3 data-center usage rose 59% year-on-year and 52% for the nine months. Management described 21 GW of signed large-load agreements across Alabama, Georgia and Mississippi, plus ~7 GW of late-stage negotiations. A broader 75 GW funnel includes projects that will not all proceed. Treat 21, 7 and 75 as distinct confidence buckets; none of these figures is equivalent to a company-owned generation order. [S2]

OPPORTUNITY	STATUS AND TIMING	INVESTMENT IMPLICATION
Signed data-center / major-load contracts	21 GW signed; upfront / minimum-bill protections discussed	Higher visibility of future load; monitor actual billing and ramps
Late-stage large-load negotiations	~7 GW advanced, not yet signed	Do not include in firm base-case cash flows
Existing gas plant uprates	Southern Power ~400 MW upgrades announced earlier in 2026	Nearer-term capacity without new greenfield plant lead time
Google / Georgia nuclear uprates	Georgia Power-approved collaboration for upgrades in maintenance windows	Potential incremental nuclear capacity; price / timing TBD
Southern Natural Gas expansion	50%-owned SONAT Southeast Connector announced	Extends growth opportunities beyond regulated power utility
Georgia / Alabama RFPs	Georgia ~2–6 GW; Alabama still being evaluated; early 2030s generation	Capital upside depends on selected bids and PSC authorizations

COMMITTED / IDENTIFIED FRAMEWORK

$85 billion

CONTINGENT UPSIDE CASE

~$100 billion

$81B original five-year base plus ~$4B identified additions.

Potential, not approved. Includes future competitive bids, rate-base and adjacent investments.

The CFO cited **more than $2B per incremental GW** in generation-asset costs in one context, while warning that transmission and other assets are not fully captured in that benchmark. Cost inflation, gas turbine lead times, engineering execution, and regulator disallowance could all erode returns. Underwriting the entire possible $15B upside as already authorized would be a material mistake. [S2]

Competitive position

Southern's integrated regulated utilities offer available land, incumbent network rights, experience procuring generation and customer contracts, and a territorial advantage for large loads. The company also benefits from an established residential / commercial population base. The counterargument is that geographic concentration in the Southeast increases correlated weather, political, and growth-cycle risk. Regulatory revenue protection—not simply new gigawatts—is the ultimate economic moat.

04 / Georgia election, PSC and affordability risk

Two political developments warrant direct valuation attention. Keisha Lance Bottoms won Georgia's November 3 gubernatorial election, and Democrats secured a majority on the Georgia Public Service Commission. The new political balance could heighten examination of utility rates, data-center cost allocation, generation additions and future return assumptions. No formal new regulatory action was established on the November 5 call; this is an increased uncertainty premium, *not a confirmed change to allowed ROE or existing contracts*. [S8, S9]

> **The critical underwriting question**
>
> Do large-load minimum charges and security terms genuinely protect residential and small-business ratepayers if data-center projects underutilize, delay or close? Management stressed contractual minimum bills, large customers' full cost contribution and an estimated ~$3B in Georgia customer benefits. Those are company claims that must be verified in tariffs and subsequent regulatory decisions. [S2]

CEO Chris Womack said management had already discussed the framework with the governor-elect during the campaign and expected to explain the contracts further. He also acknowledged the affordability debate. Georgia Power expects to make a rate filing in 2028; the company characterized its residential base-rate arrangement as extending to at least 2029. These statements are forward-looking, and a different commission composition could alter the trajectory. [S2]

POLICY PATHWAY	POSSIBLE IMPACT ON SO	MONITORING EVIDENCE
Constructive oversight	Bill protections upheld; prudent grid spending earns regulated returns	Written PSC orders and approved load tariffs
Moderate tightening	Lower allowed costs / longer recovery time / affordability concessions	2028 filings and cost allocation proceedings
Adverse change	Delays, disallowances or strict generation approvals impair rate-base growth	RFP decisions, cost recovery / ROE and security requirements

Research judgment: Avoid both political complacency and assuming a capex moratorium. Southern's contracted load and political relationships matter, but the risk is now two-sided. A structurally different cost-allocation regime is the most important thesis-break candidate. [S2, S8, S9]

05 / Financial quality, funding and shareholder returns

Southern operates a capital-intensive, debt-financed regulated utility model. Heavy growth investment can make reported free cash flow materially negative even when projects earn future regulated returns. Therefore, standalone negative FCF is **not automatically a distress signal**; it remains vital to compare financed capex with allowed returns, construction risk, cash recoveries and equity issuance.

ISSUE	LATEST DISCLOSED SIGNAL	ANALYST INTERPRETATION
Future financing	~$2B further equity need through 2030 including identified incremental ~$4B projects; 40% equity/equivalents assumption for additional capex	Funding needs can rise if $100B program fully materializes
Shares outstanding	~1.157B average Q3 vs ~1.102B a year earlier	Approx. 5% dilution in period; must be included in per-share EPS valuation
Recent equity	$1.2B Q3 forward-equity settled at ~ $95; $5.3B total forward-priced equity now settled	Funding certainty improves but prior holders' share count increases
Credit discipline	Management targeting FFO/debt ~17% by 2029	Monitor actual progress, not merely projected ratios
Low-cost financing	~$27B of available DOE loans across two major utilities	Potential cost-of-debt support; draw, terms and compliance matter
Dividend	$0.76 quarterly / $3.04 annualized	~3.26% yield at $93.34, with 25 years of annual increases

Funding and credit metrics are management commentary, not independently verified current debt metrics; dividend confirmed by official Oct 20 release. S1, S2, S4, S5

The company's 2025–26 behavior resembles **growth infrastructure financed partly with new equity**, not a repurchase or net-share-reduction story. Prioritize funds-from-operations/debt, actual incremental allowed rate-base growth, equity issuance and net bill savings. Southern's dividend history supports income resilience, though dividend growth has been considerably lower than reported earnings growth in recent years. S2, S4, S13

06 / Valuation: the business is improving; the shares are not distressed

REGULAR-SESSION CLOSE, NOV 5

$93.34

+0.24% on Nov 5; a defensive relative hold in a weak broader market. S5

2026 / FY2027 P/E

19.9× / 19.0×

On $4.70 management 2026 estimate and $4.92 *pre-print* FY27 Street estimate. S2, S7

At $93.34, dividend yield is ~3.26%. The pre-print FY27 adjusted P/E is ~19.0× and a simple FY27 PEG would be ~2.7× using the *pre-print* ~7.1% EPS growth forecast; the PEG is only indicative because the denominator comes from stale estimates and the utility's regulated capital structure creates a different growth/return profile than most tech companies. S4, S5, S7

Relative regulated utility comparison (screening, not fully normalized)

COMPANY	FORWARD P/E	DIVIDEND YIELD	KEY QUALIFIER
SO	~19.0× FY27 pre-print	~3.26%	Our recalculated FY27 from $93.34 / $4.92
Duke Energy (DUK)	~19.0×	~3.28%	Provider forward window not precisely harmonized
American Electric Power (AEP)	~19.0×	~3.00%	Transmission / load exposure differs
NextEra Energy (NEE)	~21.4×	~2.82%	Different regulated / renewable platform mix

Dated Nov 4–5 third-party snapshots, may contain inconsistent fiscal forward windows. Southern's premium for exceptional load growth is modest versus these screens, but not obviously a bargain. S10, S11, S12

Explicit discounted cash flow: dividend-based equity DCF

Because construction outlays substantially exceed current operating cash flow, conventional unadjusted FCFF would conflate today's growth build with permanently negative economics. A transparent **two-stage discounted dividend stream (equity DCF proxy)** is therefore useful alongside P/E and rate-base underwriting. This is **not** a complete FCFF-to-enterprise valuation; it discounts actual shareholder distributions and assumes continuing access to financing.

DCF INPUT	BEAR	BASE	BULL
Starting annual dividend	$3.04	$3.04	$3.04
Dividend growth, years 1–10	4.0%	5.0%	6.0%
Terminal dividend growth	3.0%	3.5%	4.0%
Cost of equity / discount rate	8.0%	7.5%	7.25%
Dividend DCF / share	**$68**	**$89**	**$115**

Analyst assumptions only. Formula: Σ[t=1..10] dividend(0)×(1+g)^t/(1+Ke)^t + [dividend(10)×(1+g_terminal)/(Ke−g_terminal)]/(1+Ke)^10. Uses a constant annual compounding assumption and no explicit interim dividends, buybacks or tax adjustment. Terminal value makes the model highly rate-sensitive.

> **Reverse DCF — what is the market paying for?** Keeping 5% annual ten-year dividend growth and 3.5% terminal growth, $93.34 implies only about **7.31% cost of equity**. Alternatively at a 7.5% cost of equity and 3.5% terminal growth, the stock price implies approximately **5.59% dividend growth for ten years**. The market is already giving Southern substantial credit for dividend durability and financing access. Small rate changes can move the value materially.

FCF yield and earnings multiples must not be blended indiscriminately: utilities may have negative FCF while regulated asset bases compound. The right ongoing cross-checks are regulated ROE, rate-base growth, FFO/debt and per-share earnings after dilution. The ~ $89 DCF base and $96 P/E base scenario are directionally consistent: **modest value at current price, with a better margin of safety below $89**.

07 / Bull, base and bear: earnings, multiples and entry points

CASE	FY2027 ADJUSTED EPS ASSUMPTION	EXIT P/E ASSUMPTION	ILLUSTRATIVE 12–18M VALUE	KEY CONDITIONAL EVIDENCE
Bear	$4.85	16.5×	$80	PSC return concessions; slowed load ramps; higher equity or rates
Base	$5.05	19.0×	$96	$4.70 FY26 delivered; 2027 guidance lifted; 21 GW progresses prudently
Bull	$5.25	21.0×	$110	Faster data-center economics; favorable tariffs; strong financing support

Illustrative research scenarios, not consensus or company guidance. Based on adjusted EPS because it matches how the company guides; each is rounded to nearest dollar. They exclude cash dividends. At $93.34, price-only bear/base/bull outcomes are roughly −14% / +3% / +18%; income may add ~$3/share annualized if maintained. No scenario assumes the full $100B capital opportunity is automatically approved.

Entry discipline

PRICE ZONE	INDICATIVE ACTION	WHY
Below $82	**Strong Add candidate**	~17.3× FY26 adjusted EPS; improves income and DCF downside cushion
$82–$89	**Preferred staged adds**	3.4–3.7% indicated dividend; closer to DDM base; reasonable balance
$89–$99	Hold / opportunistic	Growth fairly represented; avoid adding purely on earnings momentum
$100–$110	Re-underwrite / selective trim	Need confirmed improved 2027–28 EPS guidance and PSC economics
Above $110	Trim consideration	Bull-like outcome priced in before full capex certainty

Research conviction: 7/10 on business strength; valuation attractiveness: 5/10 at $93.34. This is an analyst assessment, not a CIO-controlled official buy/hold/trim action.

08 / Research conclusion, milestones and falsifiers

COMPANY QUALITY

8 / 10. Scale, integrated regulated footprint, captive demand growth, record of dividend payments and access to federal financing. Main caveat: capital complexity and regulatory concentration.

VALUATION ATTRACTIVENESS

5 / 10. Better-than-normal utility growth at a near-peer multiple, but DDM base ~$89 versus $93.34 and real policy/funding uncertainty.

PORTFOLIO FIT

Potentially favorable for stable-income / utility ballast. Canonical repository manifest names **retirement-portfolio-67.xlsx**; its derivative holdings record lists **381.4 SO shares** as of Nov 2. The workbook bytes were not available here for SHA verification, so exact portfolio percentage, updated holdings and cost basis **are not independently certified**. No older workbook was substituted.

CAPITAL ALLOCATION

Income durability and regulated load growth support continued core exposure, but compare the incremental dollar against competing risk-adjusted expected returns and utility sector concentration before approval. Formal size decisions and thesis-state changes belong to the Portfolio CIO.

Next checkpoints

WINDOW	EVIDENCE TO OBTAIN	WHAT WOULD CHANGE THE CALL?
February 2027 (next annual outlook)	Guidance through 2031; 2027/28 EPS bands; funded capex, FFO/debt and share count	Raise base value if EPS increases without proportional dilution
2027 Georgia / Alabama RFP processes	Awards, PSC approvals, generation price/GW, transmission cost allocation	Re-rate if capital earns acceptable returns with bounded cost risk
Quarterly through 2027	Signed vs served GW, minimum-bill collections, kWh usage, weather-neutral sales	Upgrade confidence if projects turn into metered recurring revenue
2028–29 Georgia rate process	Tariffs, ROE, cost allocation and affordability protections	Thesis risk rises if existing customers absorb hyperscaler capacity costs
Every quarter	FFO/debt path to 17% 2029, equity issuance, debt maturity, cash interest	Cut valuation if risk budget breaches or unplanned dilution accelerates

Thesis-break / falsification conditions

- A materially adverse PSC decision impairs cost recovery or allows large-load costs to migrate to existing retail customers without appropriate compensation.
- Signed-load ramp and minimum-bill collection materially underperform at two sequential reporting checkpoints.
- Equity issuance or interest costs consume a disproportionate share of incremental EPS from the capex program, or FFO/debt persistently trends away from management's ~17% 2029 goal.
- Generation cost overruns, permitting or lead-time problems reduce approved rate-base returns or lead to material disallowance.

Research conclusion / open questions

Retain / watch for $82–$89. Southern has earned a stronger operating outlook after Q3; the stock has not yet provided the margin of safety that would justify aggressive new capital at $93.34. The investment debate moves from *is load real?* to *how much incremental per-share cash flow and regulatory return will shareholders keep after financing?*

Open confirmations: Q3 Form 10-Q line-by-line debt and cash-flow reconciliation; Southern's official Q3 deck; signed-contract customer security terms; after-call FY27 consensus revision; forecast FFO/debt sensitivity; independent proof of regulated cost allocation. Until sourced, these remain unanswered rather than silently assumed.

Source ledger and evidence quality

1. **S1 · Southern Company.** Q3 2026 official earnings release and financial highlights https://southerncompany.mediaroom.com/2026-11-05-Southern-Company-reports-third-quarter-2026-earnings

2. **S2 · Motley Fool Transcribing.** November 5, 2026 earnings-call transcript (third-party; check against company recording) https://www.fool.com/earnings/call-transcripts/2026/11/05/southern-co-so-q3-2026-earnings-call-transcript/
3. **S3 · Southern Company.** Q2 2026 official earnings release; Q1 and Q2 quarterly histories https://southerncompany.mediaroom.com/2026-07-30-Southern-Company-reports-second-quarter-2026-earnings
4. **S4 · Southern Company.** October 20, 2026 dividend declaration; $0.76 quarterly https://southerncompany.mediaroom.com/2026-10-20-Southern-Company-announces-quarterly-dividend
5. **S5 · Finviz.** SO November 5, 2026 regular-session close, $93.34 https://finviz.com/stock?t=SO
6. **S6 · MarketBeat.** Archived pre-release quarterly consensus and earnings history (not post-call revised) https://www.marketbeat.com/stocks/NYSE/SO/earnings/
7. **S7 · Twelve Data.** Archived pre-release FY2027 adjusted EPS consensus approximately $4.92 https://twelvedata.com/markets/732375/stock/nyse/so/analysis
8. **S8 · Georgia Public Broadcasting.** November 4, 2026 reporting on Georgia PSC majority change https://www.gpb.org/news/2026/11/04/democrats-take-control-of-georgia-public-service-commission
9. **S9 · CBS News Atlanta.** November 3, 2026 Georgia governor election results https://www.cbsnews.com/atlanta/news/georgia-governor-election-2026-results-rick-jackson-keisha-lance-bottoms/
10. **S10 · Stock Analysis / S&P Global.** Utility peer statistics: DUK, AEP, NEE, dated November 5 https://stockanalysis.com/stocks/duk/statistics/
11. **S11 · Stock Analysis / S&P Global.** Utility peer statistics: AEP https://stockanalysis.com/stocks/aep/statistics/
12. **S12 · Stock Analysis / S&P Global.** Utility peer statistics: NEE https://stockanalysis.com/stocks/nee/statistics/
13. **S13 · Stock Analysis / S&P Global.** Southern statistics (pre-print; do not treat as Q3-reconciled) https://stockanalysis.com/stocks/so/statistics/

Methods and limits. Sources accessed November 5, 2026. Company figures are from its press release and management call; transcript is third-party and may contain transcription errors. Company estimates, archived consensus, third-party quote snapshots, and researcher assumptions are labeled separately. This report is an independent research artifact; no live app deployment or official thesis-status change has been authorized. Standalone HTML and PDF carry matching report text and charts.